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ORIGINAL ARTICLES January 24, 2017 • 1 Comment

IMF has Positive Outlook for Canada's Economy in 2017

Last Monday, the IMF improved the outlook for the Canadian Economy [1] – which will be welcome news after a sluggish period since late 2014. The IMF projects that Canada's economy will grow by 1.9% and 2.0% respectively in 2017 and 2018.

Canada is also expected to outperform every G7 country except for the United States. Most of the adjustments are a result of the 2016 US election – and the IMF believes Canada will come out of a Trump presidency relatively fine, though it is still early to tell.

President Trump's presence dominates most of the report, as shown by Mexico's growth projection – it's economy is expected to slow to a 1.7% increase.

For advanced economies, in general, the IMF suggested policies that fight the low inflation that plagues negative output countries, and to enact policies that will help long-term potential output. For example, tax reform and the strengthening of safety nets.

A lot of the positivity for the Canadian Economy comes from the stabilization of commodity pricing, and general positivity for all advanced economies.

However, it is far from all good news for the Canadian economy. The loonie looks to be in for a rough year [2]. As the US appears ready to ready to hike interest rates, the loonie will likely fall – as you will have learned from your introductory Macroeconomics courses.

Then, there is the issue of President Trump's unpredictable policies. These concerns are further enforced in the IMF report, saying "[...]there is a wide dispersion of possible outcomes around the projections, given uncertainty surrounding the policy stance of the incoming U.S. administration and its global ramifications." If President Trump decides to govern with a protectionist agenda, it will undoubtedly be bad news for Canada.

Overall, there is enough evidence to be cautiously optimistic for the Canadian economy.

REFERENCE

[1] <http://www.imf.org/external/pubs/ft/weo/2017/update/01/pdf/0117.pdf>

[2] <http://globalnews.ca/news/3186072/loonie-canadian-dollar-2017/>

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